



## FINANCIAL ADVISORY PRACTICE

# Financial Services FAQs

### EXECUTIVE PRACTICE MANDATES & ADVISORY FOCUS

"Clear, transparent answers to the 20 most frequent questions on FOIR, interest rate structures, CIBIL repair, balance transfers, and processing fees."

### CORE PRACTICE AREAS INCLUDED IN THIS BROCHURE

#### ■ Borrower Eligibility & Credit Scores

Essential questions on credit scores, income calculation, and co-applicant rules.

#### ■ Interest Rates, Floating vs Fixed & Balance Transfers

How interest benchmarks work and when refinancing makes financial sense.

#### ■ Fees, Taxes, Valuations & Foreclosure Charges

Transparent breakdown of all administrative charges across loan files.

#### ■ Business Capital, Overdrafts & Project Loans

Managing working capital limits, term loans, and machinery finance.

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## FINANCIAL ADVISORY PRACTICE

## 01 - Borrower Eligibility & Credit Scores

Essential questions on credit scores, income calculation, and co-applicant rules.

**Q: What minimum CIBIL score is required for a commercial or home loan?**

A: Most prime lenders prefer a score of 750 or above. However, Jyot Enterprise works with specialized NBFCs and private banks capable of approving files with scores between 650 and 749 by presenting mitigating cash flow evidence.

**Q: How is FOIR (Fixed Obligation to Income Ratio) calculated?**

A: FOIR measures the percentage of your monthly income committed to loan repayments. Salaried borrowers can generally commit up to 50-65% of net pay, while commercial business borrowers can stretch up to 70% based on proven operating margins.

**Q: Does adding a co-applicant increase our sanctioned loan amount?**

A: Yes. Adding an earning spouse, parent, or adult child combines household cash flows, substantially raising FOIR headroom and qualifying your file for a significantly higher loan sanction.

**Q: Can non-salaried income (rental yields, dividends) be counted for eligibility?**

A: Yes, provided these incomes are reflected in official bank statements and declared across at least 2 consecutive Income Tax Returns with verifiable rental agreements.

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## 02 - Interest Rates, Floating vs Fixed & Balance Transfers

How interest benchmarks work and when refinancing makes financial sense.

**Q: When is a floating rate loan better than a fixed rate loan?**

A: In the Indian banking system, repo-linked floating rate loans are almost always superior for home and commercial mortgages because RBI mandates zero foreclosure charges for individuals, allowing fee-free prepayments anytime.

**Q: How do I determine if a Home Loan Balance Transfer (BT) is worthwhile?**

A: A balance transfer makes compelling sense if your existing lender is charging 0.50% or more above prevailing market rates, provided your remaining tenure exceeds 5 years. Savings on EMIs easily outweigh transfer costs.

**Q: What is an EBLR / RLLR benchmark?**

A: External Benchmark Lending Rate (EBLR) is linked directly to the RBI Repo Rate plus an institutional spread. When RBI alters rates, banks are legally bound to pass rate cuts directly to borrowers.

**Q: Can I transfer my loan if I have existing EMI bounces?**

A: Minor bounces in the past can be overcome if your last 6 months show spotless repayment and sufficient liquidity in your operating account.

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## 03 - Fees, Taxes, Valuations & Foreclosure Charges

Transparent breakdown of all administrative charges across loan files.

**Q: What are standard bank processing fees?**

A: Processing fees range from 0.25% to 1.00% of the sanctioned amount for home loans, and 1.00% to 2.00% for unsecured commercial credit lines, subject to institutional caps and seasonal promotions.

**Q: Are there legal and valuation charges?**

A: Yes. Lenders charge actual advocate title search fees (Rs. 3,000 - Rs. 7,500) and physical technical valuation fees (Rs. 2,500 - Rs. 5,000) directly to empanelled professionals.

**Q: What is MODT stamp duty in Gujarat?**

A: Under the Gujarat Stamp Act, Memorandum of Deposit of Title Deeds (MODT) incurs stamp duty typically calculated at 0.25% to 0.50% of the borrowing amount, capped by statutory limits.

**Q: Can a lender charge prepayment penalty on business loans?**

A: For individual borrowers and sole proprietors, floating rate loans carry zero prepayment penalty. For private limited companies, NBFCs may levy 2% to 4% foreclosure charges as per sanction terms.

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## 04 - Business Capital, Overdrafts & Project Loans

Managing working capital limits, term loans, and machinery finance.

**Q: What is the difference between a Term Loan and a Cash Credit (CC) limit?**

A: A Term Loan is disbursed in full for capital investments (machinery, factory construction) with fixed monthly principal repayments. Cash Credit is a revolving working capital facility where interest is charged only on the daily utilized balance.

**Q: Can our business obtain unsecured credit without collateral?**

A: Yes. Profitable businesses operating for over 3 years with annual turnover exceeding Rs. 50 Lakhs can secure collateral-free business loans between Rs. 10 Lakhs and Rs. 1.5 Crores based purely on GST and banking cash flow.

**Q: What is the CGTMSE guarantee scheme?**

A: Credit Guarantee Fund Trust for Micro and Small Enterprises provides institutional collateral guarantees up to Rs. 5 Crores for eligible manufacturing and service enterprises without third-party collateral.

**Q: How frequently must working capital limits be renewed?**

A: Bank CC/OD limits are renewed annually upon submission of updated audited financials, provisional numbers, and stock & debtor statements.

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## 05 - How Jyot Enterprise Works With You

Our commercial terms, success fees, and commitment to transparency.

**Q: How is Jyot Enterprise compensated for loan advisory?**

A: We operate primarily on a success-linked advisory model upon successful disbursement. If your loan file cannot be sanctioned or disbursed, no success fee is charged.

**Q: Do you represent one specific bank or lender?**

A: No. Jyot Enterprise is an independent credit advisory firm empanelled with over 40 public banks, private banks, housing finance companies (HFCs), and NBFCs. We act exclusively in your commercial interest.

**Q: How do I get my loan file evaluated today?**

A: Reach out to our credit desk directly. We will provide an initial eligibility diagnosis within 4 business hours upon reviewing your basic income and banking records.

**Q: Direct Helpline:**

A: Phone: +91 95374 30101 \* +91 77780 08999 \* Email: [jyotenterpriseofficial@gmail.com](mailto:jyotenterpriseofficial@gmail.com)